

The Rich Report

Paradiem 

U.S. ECONOMICS NEWS

- **S&P 500 Estimates:** S&P 500 earnings growth estimates surged from 13.7% to 22.6% for 2026 since February, with all eleven sectors projected to post positive earnings growth — a rare sweep. Information Technology leads with 47% estimated earnings growth and 27.8% revenue growth, while Energy (61.2%) and Materials (39.4%) also stand out, though Energy's 2027 estimate flips sharply negative at -7.5%.³
- **Earnings Surprises:** Q1 2026 S&P 500 earnings came in 17.9% above estimates — more than double the 5- and 10-year averages of ~7% — pushing the blended earnings growth rate from an estimated 13% to an actual 27.7%. Communication Services and Information Technology led with EPS surprises of 53% and roughly 40%+, driving sector total returns of 19.7% and 29.0% respectively between March 31 and May 15.³
- **Housing Mixed:** April housing starts beat consensus at a 1.465 million annual rate but masked a concerning divergence: single-family starts fell 9% in April and are down 2.4% year-over-year, while multi-unit starts rose 10.3% and are up 19.7% annually. Builder sentiment remains negative — the NAHB index hit 37 in May, below the 50 threshold for the 25th consecutive month.³
- **Tariff Refunds:** Following the Supreme Court's February 2026 ruling that IEEPA tariffs were unlawful, the government faces ~\$166 billion in refunds to roughly 330,000 importers. Progress is slow — only 29% of eligible entries have been filed and 21% of refund value liquidated — but Treasury withdrawals tied to CBP surged to \$12.8 billion in the week ending May 15, signaling payments are beginning to flow.³

The Rich Report

Paradiem 

DIGITAL ASSETS NEWS

- **USDC Deal:** Hyperliquid has formalized a strategic partnership with Coinbase and Circle, designating USDC as its official aligned quote asset across the platform. This integration deepens institutional credibility while unlocking a projected \$135–\$160M in annualized protocol revenue — derived from yield on USDC reserves and trading fee flows — marking a significant step toward sustainable, on-chain exchange economics.⁵
- **Clarity Act Passes Senate Banking Committee:** In a 15-9 vote on May 14, the Senate Banking Committee advanced the Clarity Act, marking a historic milestone — the first time a crypto market structure bill has cleared that panel. The legislation aims to establish clearer jurisdictional boundaries between the SEC and CFTC over digital assets, potentially reshaping how crypto markets are regulated in the United States.⁵
- **Yield-as-a-Service:** The Clarity Act's prohibition on payment stablecoin issuers offering native yield forces a structural pivot — rather than embedding returns directly into the token, firms may route yield through regulated intermediaries, automated compliance layers, or AI-optimized lending protocols. This shifts the model from passive "hold-to-earn" to actively managed, permission-gated yield infrastructure, potentially spawning an entirely new service category built around compliant return generation.⁵
- **Tokenization Gap:** Prometheus argued that while blockchain technology has largely solved the technical challenges of tokenizing assets — encoding ownership, enabling fractional transfers, and ensuring immutability — the critical missing infrastructure is regulated distribution. Without broker-dealers and registered investment advisors serving as compliant intermediaries, tokenized assets remain inaccessible to institutional portfolios and retail investors alike, leaving a solved technical problem commercially stranded.⁵

The Rich Report

Paradiem

GEOPOLITICS NEWS

- **Brazil:** Fertilizer costs driven by the Iran war are hitting farmers at a vulnerable moment, compounding already strained finances from low commodity prices, limited credit, and high logistics costs. Soybean acreage expansion for the upcoming season is forecast at its slowest rate in nearly two decades.¹
- **China/Russia:** Xi and Putin met in Beijing, signing over 40 cooperation agreements and extending their 2001 friendship treaty. Despite the pageantry, Russia again failed to secure Chinese approval for the Power of Siberia 2 pipeline, highlighting the asymmetry in the relationship. Both leaders condemned U.S. actions in Iran and Venezuela.¹
- **Iran:** Iran's new Supreme Leader issued a directive barring the country's near-weapons-grade enriched uranium from being sent abroad, directly contradicting a key U.S. and Israeli demand in peace negotiations. The order hardens Tehran's stance as ceasefire talks remain stalled and the U.S. naval blockade continues squeezing Iran's oil storage capacity.¹
- **Japan:** April exports surged 14.8% year-on-year, well above forecasts, boosted by a weak yen and resilient global demand, particularly for chip-making machinery. However, economists warn that elevated energy prices stemming from the Middle East conflict could dampen global growth and erode export momentum in coming months.¹
- **Qatar:** A Qatari negotiating team arrived in Tehran, coordinating with the U.S., in an effort to bridge outstanding gaps and secure a deal ending the Iran war. Qatar had previously distanced itself after Iranian missile and drone attacks, making its re-engagement a notable shift in the diplomatic landscape.¹
- **US/NATO:** The Pentagon announced a reduction of U.S. forces in Europe from four to three brigade combat teams, partly in response to European NATO allies' tepid support for the Iran war. Poland received assurances the move was a temporary delay rather than a permanent withdrawal, though the signal of diminished U.S. commitment rattled the alliance.¹
- **US/Cuba:** Trump and Rubio escalated rhetoric against Cuba, with Trump suggesting he may intervene militarily — a step he said previous presidents had contemplated but not taken. Rubio dismissed the chances of a diplomatic resolution as "not high," while the USS Nimitz conducted exercises in the Caribbean amid the intensifying standoff.¹

The Rich Report

Paradiem

THE GOOD NEWS

- **Oil Crisis Resilience:** Despite the Strait of Hormuz closure eliminating 14% of global oil supply, Brent crude sits at \$106/barrel — well below the \$150-200 analysts predicted. Non-Gulf producers rapidly increased exports while major buyers like China strategically deferred purchases, creating an unexpected mini-glut and demonstrating surprising market adaptability to a historically severe supply shock.²
- **Grid Strengthening:** Record solar, battery, and natural gas additions have dramatically improved U.S. summer grid reliability. NERC's 2026 assessment found only three regions at elevated supply-shortfall risk, down from six in 2025, even as electricity demand surged 11 gigawatts — continuing a trend of load growth doubling year-over-year as the grid expands to meet it.²
- **AI Solves Old Math Problem:** An OpenAI reasoning model disproved a conjecture in discrete geometry that had stood since Paul Erdős first posed it in 1946, showing that "square grid" constructions are not optimal for maximizing unit-distance pairs among points. External mathematicians verified the proof, marking a milestone for general-purpose AI tackling foundational unsolved problems without domain-specific training.²
- **Addiction Declining:** Global substance use disorder rates fell 17% between 1990 and 2021 on an age-standardized basis, representing meaningful progress despite population growth. Roughly 163 million people were affected in 2021 — a large number, but one that reflects a sustained, decades-long decline in how frequently addiction takes hold across populations worldwide.²
- **Obesity Reversing:** New data from Epic's health records — covering over 100 million Americans — confirms U.S. obesity rates have been declining since at least 2021, with each recent quarter lower than the same quarter the prior year. The trend's continuation into 2026, well past the acute COVID period, suggests structural drivers like GLP-1 medications are reshaping America's long-term health trajectory.²

The Rich Report

Paradiem

DIVIDEND PORTFOLIO NEWS

- **ADI:** Analog Devices posted strong Q2 results — Non-GAAP EPS of \$3.09 beat by \$0.18, revenue of \$3.62B beat by \$100M — and guided Q3 to \$3.9B revenue and \$3.30 adjusted EPS, driven by industrial and AI demand. The company also announced a \$1.5B acquisition of Empower Semiconductor and declared a \$1.10 dividend, though shares fell despite the beats.⁴
- **DGX:** Quest Diagnostics declared a \$0.86 quarterly dividend.⁴
- **LRCX:** Lam Research declared a \$0.26 quarterly dividend.⁴
- **NEE:** NextEra Energy declared a \$0.6232 quarterly dividend and announced a deal to acquire Caliber Resource Partners while forming a shale JV. CEO Ketchum noted the Dominion Energy deal should improve energy affordability.⁴
- **SSNC:** SS&C Technologies declared a \$0.27 quarterly dividend and announced a \$1.5B stock repurchase program.⁴
- **SYK:** Stryker acquired Amplitude Vascular Systems for \$835M, expanding its vascular product portfolio.⁴
- **VLO:** U.S. refiners, including Valero, are producing jet fuel at near-record levels according to Argus, a positive demand signal for refining margins.⁴

The Rich Report

Paradiem

GROWTH PORTFOLIO NEWS

- **AEM:** Agnico Eagle approved a \$1.7B Hope Bay mine development in Canada's Arctic, with Arctic barge shipping being explored to manage costs. The company also made a C\$56M strategic investment in Wallbridge Mining, signaling continued M&A activity alongside organic growth.⁴
- **AMD:** AMD is investing \$10B in Taiwan to expand AI chip production capacity amid surging CPU demand, and CEO Lisa Su met with China's Vice Premier, suggesting diplomatic efforts to preserve market access.⁴
- **KEYS:** Keysight beat Q2 estimates with non-GAAP EPS of \$2.87 (beat by \$0.55) and revenue of \$1.72B, then guided Q3 revenue to \$1.73–\$1.75B implying ~29% growth. Analysts highlighted Keysight doubling its AI customer base with growth across all end-market segments. FY2026 revenue growth guided to high-20s percent.⁴
- **MRVL:** Marvell is the most anticipated earnings report in the week ahead, with Stifel raising its price target and expecting a beat-and-raise quarter. Goldman Sachs noted a rotation from software into semiconductors, a trend that could further benefit Marvell given its AI networking and custom silicon exposure.⁴
- **NVDA:** Nvidia reported a blowout Q1: non-GAAP EPS \$1.87 (beat by \$0.10), revenue \$81.62B (beat by \$2.65B), Data Center revenue up 92% to \$75B. Q2 guidance of ~\$91B topped consensus. The company announced an \$80B buyback and raised the quarterly dividend to \$0.25. Nvidia also claimed the top spot in Russell index reconstitution by market cap. CEO Jensen Huang acknowledged largely ceding China's AI chip market to Huawei while delivering Vera CPU systems to OpenAI, Anthropic, Oracle, and SpaceX.⁴
- **TOL:** Toll Brothers beat fiscal Q2 estimates — GAAP EPS \$2.72 (beat by \$0.14), revenue \$2.53B (beat by \$110M) — and raised full-year guidance, now targeting 10,400–10,700 deliveries in fiscal 2026. Homebuilding stocks broadly surged after the House passed an amended housing bill, providing additional tailwinds.⁴
- **VST:** Vistra and utility peers surged after PJM announced plans to accelerate data center grid interconnection timelines, directly benefiting power generators with exposure to AI infrastructure load growth.⁴

The Rich Report

Paradiem

S U M M A R Y

In regard to the United States Economy, corporate earnings delivered a standout quarter, with Q1 2026 results coming in nearly 18% above estimates — more than double historical averages. S&P 500 earnings growth projections for 2026 surged to 22.6%, with all eleven sectors expected to post gains. Housing told a more cautious story, as single-family starts declined while builder sentiment remained negative for the 25th consecutive month. Tariff refund payments are also beginning to flow following a Supreme Court ruling.

In the world of digital assets, legislative and structural developments dominated the week. The Senate Banking Committee advanced a landmark crypto market structure bill, establishing clearer regulatory boundaries between the SEC and CFTC. Separately, a major exchange formalized a partnership designating USDC as its primary quote asset, unlocking significant projected protocol revenue. Analysts also highlighted that tokenized assets remain commercially stranded without regulated distribution infrastructure — a solvable problem awaiting the right intermediaries.

Recently around the globe, geopolitical tensions remained elevated across several fronts. China and Russia deepened cooperation agreements, though Moscow again failed to secure a key pipeline deal, exposing asymmetry in the relationship. Iran's new Supreme Leader hardened the country's nuclear stance, complicating stalled ceasefire talks. Japan posted strong export numbers driven by a weak yen, while Qatar's re-engagement in Iran diplomacy marked a notable shift worth watching.

For the good news, resilience and progress defined the week. Despite a historic Strait of Hormuz closure, oil markets adapted far better than feared, with Brent crude well below worst-case projections. U.S. grid reliability improved significantly heading into summer. An AI reasoning model disproved a geometry conjecture dating to 1946, verified by external mathematicians. Health data also confirmed continued declines in both addiction rates and obesity, with GLP-1 medications suggesting lasting structural change.

In the news for the dividend portfolio, Analog Devices delivered strong quarterly results, beating on earnings and revenue while guiding higher on industrial and AI demand — though shares slipped regardless. NextEra Energy announced an acquisition and joint venture alongside its dividend. SS&C Technologies added a \$1.5 billion share repurchase program. Stryker expanded its vascular portfolio through acquisition, and Valero benefited from near-record jet fuel production signaling healthy refining demand.

And, for the growth portfolio, Nvidia headlined the week with a blowout quarter — revenue of \$81.6 billion, Data Center sales up 92%, and forward guidance topping \$91 billion. Keysight also beat estimates and guided for roughly 29% revenue growth. Agnico Eagle approved a major Arctic mine development, AMD deepened AI chip investments in Taiwan, and Vistra surged after PJM accelerated data center grid interconnection timelines.

The Rich Report

Paradiem

RESOURCES



1. Research accumulated from <https://www.patreon.com/cw/PeterZeihan>, <https://x.com/>, and <https://seekingalpha.com/>
2. <https://newsletter.humanprogress.org/>
3. Research accumulated from <https://www.ftportfolios.com/> and <https://bravosresearch.com/research/>
4. <https://seekingalpha.com/>
5. <https://www.coindesk.com/latest-crypto-news>

IMPORTANT INFORMATION



Paradiem, LLC dba Intentional Ownership ("TOWN") is a registered investment advisor. Advisory services are only offered to clients or prospective clients where Paradiem/IOWN and its representatives are properly licensed or exempt from licensure. All information has been obtained from sources believed to be reliable, but its accuracy is not guaranteed. There is no representation or warranty as to the current accuracy, reliability or completeness of, nor liability for, decisions based on such information and it should not be relied on as such. The information provided is for educational and informational purposes only and does not constitute investment advice and it should not be relied on as such. It should not be considered a solicitation to buy or an offer to sell a security. It does not take into account any investor's particular investment objectives, strategies, tax status or investment horizon. You should consult your attorney or tax advisor.